CHAIRMAN'S AIDE MEMOIRE – PRE-FINAL VERSION 26TH MAY 2023

NAIROBI SECURITIES EXCHANGE PLC 69TH ANNUAL GENERAL MEETING HELD ON TUESDAY 30TH MAY 2023 THROUGH ELECTRONIC MEANS

(The Kenya National Anthem – Kiswahili and the EAC Anthem to play – 1st Stanza of each).

Good morning Shareholders, ladies and gentlemen, I want to first start by thanking you all for being present today 30th May 2023 for our Annual General Meeting.

As we start, may I request a shareholder *(or company officer present)* to kindly pray for the meeting.

It gives me great pleasure to welcome you to the 69th Annual General Meeting of the Nairobi Securities Exchange Plc (NSE). It is our hope and prayer that you and your loved ones are well.

My name is **KIPRONO KITTONY**, the Board Chairman of Nairobi Securities Exchange Plc. I am honoured to be chairing this Annual General Meeting (AGM).

I now take this opportunity to introduce those seated here with me on this live stream:

1. The Chief Executive – Mr. Geoffrey Odundo;
2. The Company Secretary and Chief Legal Officer – Mr. Kuria Waithaka
3. The Chief Finance Officer – Ms. Jane Kiarie
4. Our Auditor Deloitte & Touche LLP represented by Ms. Anne Muraya, Partner.

Allow me to also introduce to you the Board members of the Company participating by virtual means ***(their photos will be displayed)***:

1. Mr. Paul Mwai - Vice Chairman
2. Mr. Michael Turner
3. Ms. Risper Alaro-Mukoto
4. Ms. Isis Nyongo Madison
5. Mr. Donald Wangunyu
6. Mr. Stephen Chege
7. Mr. John Nieopold
8. Ms. Carole Kariuki

I also acknowledge the support provided by CDSC Registrars for their work towards the success of this electronic meeting.

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Once again, we have taken significant measures to ensure that this virtual AGM mirrors our usual AGM structure. In this regard, Shareholders, we shall continue having an elaborate Question and Answer session and you can be sending in your questions **via the Q&A button on your screen or chat button**. We shall also allow some live calls during the session, for those who have registered for the service. You can also vote using the ***"vote"*** button on your dashboard or by USSD **(*483*560#)** code provided.

Dear Shareholders, as we transact the business of the day, I wish to thank you all for your continued support and assure you of our commitment today and beyond.

This meeting has been convened to conduct the ordinary and also special business set out in the notice of the meeting.

1. PROXIES AND QUORUM

CHAIRMAN: I shall now ask the Secretary to report on the registration and confirmation of shareholder participation through registration and confirm the presence of a quorum.

SECRETARY: Thank you Mr. Chairman. I confirm that a total number of **……** shareholders and proxies holding a total of **……**shares representing **…..%** of the Company's shareholding, have registered for this electronic Annual General Meeting. I confirm that the meeting is properly constituted and quorate.

CHAIRMAN: I therefore declare the meeting to be properly convened and duly constituted.

2. AGENDA ITEM NO. 1 - READING THE NOTICE OF MEETING

CHAIRMAN: As per Agenda Item No. 1, I call upon the Secretary to read the Notice convening the Meeting.

SECRETARY: **NOTICE IS HEREBY GIVEN** that the **69TH ANNUAL GENERAL MEETING** of the shareholders of **NAIROBI SECURITIES EXCHANGE PLC** will be held via electronic communication, on **Tuesday 30th May 2023** at **11.00 a.m**. when business as set out in the published notice *(on our website and other communication platforms, in two daily newspapers and also in the 2022 Integrated Report and Financial Statements)* shall be conducted.

3. AGENDA ITEM NO. 2 - MINUTES OF THE ANNUAL GENERAL MEETING HELD ON 3RD JUNE 2022

CHAIRMAN: The Minutes of last year's Annual General Meeting, which are under Agenda Item No. 2, have been circulated and with your concurrence, I propose that they are taken as read and approved.

4. AGENDA ITEM NO. 3 – RECEIVING THE CHAIRMAN'S STATEMENT AND CHIEF EXECUTIVE'S REPORT

CHAIRMAN: Shareholders, moving to Agenda Item No. 3, the year 2022 Integrated Report and Financial Statements were made available to all shareholders through a publication in the local dailies as well as on the Company's website, as indicated in the notice convening the meeting.

The **Chairman's Statement** for the year ended 31st December 2022, was published in the 2022 Integrated Report and Financial Statements and is contained at **page ..** and I will however provide some highlights. ***(Chairman reads an abridged version of his statement).***

CHAIRMAN: The **Chief Executive's Report** is also contained in the Integrated Report and Financial Statements **from page …..** However the Chief Executive will highlight the same and I now take this opportunity to invite the Chief Executive, Mr. Geoffrey Odundo, to present to you his report for the year ended 31st December 2022.

(CEO to make a presentation verbally, whilst a PowerPoint slide presentation is ongoing).

CHAIRMAN: Thank you Mr. Odundo.

5. AGENDA ITEM NO. 4 - AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2022 AND DIRECTORS' AND AUDITORS REPORT

CHAIRMAN: The **Directors' Report** which was also circulated in the year 2022 Integrated Report and Financial Statements, is contained **on pages … to …** and it is proposed that it is taken as read.

CHAIRMAN: With regard to the Audited Financial Statements for the year ended 31st December 2022, as per Agenda Item No. 4, I will now call upon the representative from our **Auditors, Deloitte & Touche LLP, Ms. Anne Muraya**, to highlight their audit opinion to members.

(Auditor's representative reads the opinion on page …. of the Integrated Report and Financial Statements).

CHAIRMAN: Thank you very much Ms. Muraya.

6. QUESTIONS ON THE FINANCIAL STATEMENTS

CHAIRMAN: As you are all aware, shareholders were already given an opportunity to ask questions and seek clarifications in regard to the Financial Statements for the year ended 31st December 2022, and the resolutions being presented. We have received some questions and also requests for clarification from shareholders and have responded to them as appropriate.

Having said that, I shall provide additional opportunity to members who might have pressing questions to ask them using the ***"Q&A"* button** on your streaming screen. Please note we might not be able to respond to all the questions raised due to time limitations and therefore, all the questions received shall be collated and responses published on our website after the meeting.

Shareholders, let me now invite those wishing to call in with questions, to proceed and dial in by pressing the raise hand icon on their screens.

Call process commences

(Chairman takes five to six questions from shareholders calling in).

Hello and thank you for calling in. Please state your name and where you are calling us from.

(Shareholder response/question)

Please proceed to ask your question.

(Shareholder response/question)

Thank you. We have noted your question and will respond to it after all the questions are in.

(Chairman to move to next caller and repeat the process).

(Where there may be a delay in receiving phone calls, the Chairman shall prompt the Company Secretary to read out any questions that may be received in the livestream on the portal)

CHAIRMAN: Thank you, shareholders. Before we proceed to respond to the questions, we shall provide you with the guidelines on how to cast your votes for the Resolutions placed before this AGM and which are summarized in the Notice of this Meeting.

Please see the screen for the instructions on the voting process.

(During the break, Chairman to distribute the questions asked by the shareholders who have dialed in and questions received from the livestream).

After the short break, the Chairman to resume the meeting for the Q & A session which will comprise questions received from shareholders who have dialed in and received during the AGM on the livestream.

CHAIRMAN: I will now request the Chief Executive and/or Chief Finance Officer to respond to the questions received.

(CEO/CFO to respond to allocated queries and thereafter handover back to the Chairman).

(Completion of Q & A session).

CHAIRMAN: Shareholders, I trust that we have now given adequate consideration to all matters contained in the Integrated Report and Financial Statements and the questions raised by shareholders. The Q&A session on the Financial Statements is now closed.

I now call upon a member to propose and another to second the **1st Resolution**, relating to **Agenda Item No. 4**, as follows:

THAT the Audited Financial Statements for the year ended 31st December 2022, together with the Directors' and Auditors Reports thereon be and are hereby approved and adopted.

CHAIRMAN: Company Secretary, do we have a proposer and a seconder of the motion?

SECRETARY: Yes Mr. Chairman **……..** proposes and **……..** seconds the motion.

CHAIRMAN: The Resolution to approve and adopt the Report and Financial Statements has been proposed and seconded. I now put it to the Meeting for voting.

7. AGENDA ITEM NO. 5 - DIVIDEND DECLARATION AND APPROVAL

CHAIRMAN: The next item on the Agenda **(Item No. 5)**, is to approve a final dividend of Kshs. 0.20 per ordinary share, in respect of the Financial Year ended 31st December 2021 and to approve the closure of the Register of Members at the close of business on 3rd June 2023, for one day, for the purpose of determining the qualifying members entitled to dividends.

I therefore call upon a member to propose and another to second the **2nd Resolution** in relation to **Agenda Item No. 5**, as follows:

THAT a final dividend of Kshs. 0.20 per ordinary share, in respect of the Financial Year ended 31st December 2022, be and is hereby approved.

Further THAT the closure of the Register of Members at the close of business on 3rd June 2023 for one day for the purpose of determining the qualifying members entitled to dividends, be and is hereby approved.

CHAIRMAN: Company Secretary, do we have a proposer and a seconder of the motion?

SECRETARY: Yes Mr. Chairman, **……..** proposes and **…….** seconds the motion

CHAIRMAN: Thank you. I now put the Resolution to the Meeting for voting.

8. AGENDA ITEM NO. 6 - APPROVAL OF THE DIRECTORS' REMUNERATION REPORT

CHAIRMAN: The next matter to be dealt with, namely **Agenda Item No. 6**, is the approval of the Directors' remuneration and Directors' Remuneration Report. Shareholders will note that the Company has disclosed its Directors' remuneration for the year ended 31st December 2022 on **Pages 69 to 74**, of the year 2022 Integrated Report and Financial Statements.

In accordance with provisions of Section 681 of the Companies Act 2015 and the Tenth Schedule of the Companies Regulations 2017, members are required to vote to approve the Directors' Remuneration and the Directors' Remuneration Report.

The law requires the Board to disclose the percentage of votes cast for, against and abstentions on this Resolution.

The **3rd Resolution** to be passed under this **Agenda Item No. 6** is therefore:

THAT the Remuneration Report of the Board as detailed in the Integrated Report and Financial Statements for the Financial Year ended 31st December 2022 be and is hereby approved, and the Directors are authorized to fix their remuneration.

CHAIRMAN: Company Secretary, do we have a proposer and a seconder of the motion?

SECRETARY: Yes Mr. Chairman, we have **……** proposing and **……..** seconding the motion.

CHAIRMAN: Thank you. I will now put the Resolution to the Meeting for voting.

9. AGENDA ITEM NO. 7 - ELECTION OF DIRECTORS

CHAIRMAN: The next item on the **Agenda (Item No. 7)** is the retirement and re-election of Directors. Dear Shareholders, this year we have three Directors retiring at this Meeting, namely Mr. Michael Turner, Ms. Risper Alaro - Mukoto and Mr. Paul Mwai, all of whom offer themselves for re-election.

I now request a member to formally propose and another to second the following Resolutions (collectively comprising the **4th Resolution**), as follows:

(a) THAT in accordance with Articles 94 and 95 of the Company's Articles of Association, Mr. Michael Turner, who retires by rotation, and being eligible for re-election, be and is hereby re-elected as an Independent Non-Executive Director;

CHAIRMAN: Company Secretary, do we have a proposer and a seconder of the motion?

SECRETARY: Yes we do, that is **……..** proposes and **……** seconds the motion.
CHAIRMAN: Thank you. I will now put the Resolution to the Meeting for voting.

CHAIRMAN: Next I will put the following Resolution to the Meeting for voting.

(b) <u>THAT</u> in accordance with Articles 94 and 95 of the Company's Articles of Association, Ms. Risper Alaro - Mukoto, who retires by rotation, and being eligible for re-election, be and is hereby re-elected as a Non-Executive Director representing listed companies;

CHAIRMAN: Do we have a proposer and a seconder of the motion?

SECRETARY: Yes, we have **……** proposing and **……**.seconding the motion

CHAIRMAN: I will now put the next Resolution to the Meeting for voting, as follows:

(c) <u>THAT</u> in accordance with Articles 94 and 95 of the Company's Articles of Association, Mr. Paul Mwai, who retires by rotation, and being eligible for re-election, be and is hereby re-elected as a Non-Executive Director representing trading participants.

CHAIRMAN: Do we have a proposer and a seconder of the motion?

SECRETARY: Yes we do **……** proposes whilst **xxxxxxxx** seconds the motion

CHAIRMAN: Thank you. I will now put the Resolution to the Meeting for voting. Having dispensed with this matter, I now hand back the meeting to the Chairman.

10. <u>AGENDA ITEM NO. 8 - APPOINTMENT OF MEMBERS OF THE BOARD AUDIT, RISK AND COMPLIANCE COMMITTEE</u>

CHAIRMAN: After re-electing the Directors, the next matter to be dealt with, namely under **Agenda Item No. 8**, is the appointment and confirmation of members of the Board Audit, Risk and Compliance Committee, in line with provisions of Section 769 of the Companies Act, 2015.

The **<u>5th Resolution</u>** to be passed is therefore:

<u>THAT</u> in accordance with the provisions of Section 769 of the Companies Act, 2015, the following directors, being members of the Board Audit, Risk and Compliance Committee, be appointed individually to continue to serve as members of the said Committee:

(a) Mr. John Niepold;
(b) Ms. Risper Alaro-Mukoto (subject to re-election);
(c) Ms. Isis Nyong'o Madison; and
(d) **Mr. Michael Turner (subject to re-election).**

CHAIRMAN: Do we have a proposer and a seconder of the motion?

SECRETARY: Yes we do **……..** has proposed and **……..** has seconded the motion.

CHAIRMAN: Thank you. I will now put the Resolution to the Meeting for voting.

11. AGENDA ITEM NO. 9 - APPOINTMENT OF THE AUDITORS AND APPROVAL OF AUDITORS' REMUNERATION

CHAIRMAN: The next matter on the Agenda, under **Item No. 9** is To reappoint Messrs Deloitte & Touche LLP as the Auditors of the Company, in accordance with the provisions of Section 721(4) of the Companies Act, 2015 and to authorize the Directors to fix their remuneration for the ensuing Financial Year in accordance with the provisions of Section 724 of the Companies Act, 2015.

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The **6th Resolution** to be passed is therefore:

THAT in accordance with the provisions of Section 721 of the Companies Act, 2015 Messrs. Deloitte & Touche LLP be and are hereby reappointed as the auditors for the Financial Year ending 31st December 2023 and the Directors are in accordance with the provisions of Section 724 of the Companies Act, 2015 hereby authorized to fix the Auditor's remuneration.

I will now ask a member to formally propose this Resolution and another to second the same.

CHAIRMAN: Do we have a proposer and a seconder of the motion?

SECRETARY: Yes we have **……** proposing and **……** seconding the motion.

CHAIRMAN: Thank you. I will now put the Resolution to the Meeting for voting.

12. AGENDA ITEM NO. 10 - OTHER BUSINESS

CHAIRMAN: The Company Secretary has informed me that he **has not received** notice of any other business and as such there is no further business to be deliberated.

Dear Shareholders, please remember that voting shall continue **until 1.00 p.m. today**. The results shall be published on the Company's website within 24 hours and the outcome shall be deemed to be a resolution of this meeting enforceable immediately in line with the Company's Articles of Association.

That therefore concludes the official business of the 69th Annual General Meeting. Before I close the meeting, allow me to make some closing remarks.

13. CHAIRMAN'S CLOSING REMARKS

CHAIRMAN: Dear shareholders, I take this opportunity to convey my gratitude for your attendance and participation in this AGM. Thank you for continuing to be supportive of your company.

I wish to recognize and appreciate my fellow Board members for their support in steering the ship that is NSE and for selflessly giving of their time, experience and knowledge to provide the requisite oversight with regard to the business and operations of your Company. I am also grateful to the Chief Executive, the Management team and staff of the NSE for their wholehearted dedication towards achieving the strategic objectives of the company and taking the business to a new level, especially as it positions itself as a formidable player in the global financial markets.

I also wish to appreciate the NSE team and all the service providers who were instrumental in organizing and ensuring the success of this virtual AGM.

With that, I wish you well, stay safe and God's blessings. Have a good rest of the day.

I declare the Meeting officially closed.

(The Kenya National Anthem and EAC Anthem to play).

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